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Mind over Money

People who say money can't buy happiness
just don't know where to shop.

—Tom Shivers

Managing money involves a rational mind, but how we react to money is seldom rational. Let's take the simple concept of "Don't spend more than you make." The logic behind this statement is easy to understand. Then why do so many people spend money they do not have?

The answer is that our emotions get in the way. We can spend more than we make because spending can be triggered by feelings of depression, love, guilt, joy, reward, loneliness, and almost any other emotion you can imagine. When emotion is stronger than your rational mind, the emotion wins out.

People usually relate to money in one or more of the following four categories: Love, Freedom, Power, and Security. This chapter will tell stories that illustrate the extremes of each of the four psychological relationships to money. Each of the categories has admirable characteristics when approached in moderation; it is the extremes that should be avoided:

- LOVE—it is admirable to give to others who are in need.
- FREEDOM—it is admirable to take a chance and to dream big.